

Adoption → Impact Lag

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Time between deploy and measurable gain

PROFESSIONAL DEFINITION

The Adoption-to-Impact Lag is the time delay between deploying a technology and observing its measurable economic impact, during which value accrues invisibly through complementary change.

WHO DEVELOPED IT

A concept grounded in technology-diffusion and productivity research, associated with Paul David's analysis of the electric dynamo and with Brynjolfsson's AI work.

WHY IT WAS DEVELOPED

It was developed to set realistic expectations: transformative technologies historically take years to show up in performance after adoption.

FIGURE 1 · ADOPTION → IMPACT LAG



Figure 1. A schematic of the Adoption → Impact Lag as applied in BARBM312 (illustrative).

HOW IT IS USED

The expected lag is estimated and built into the business case so that early flat results are interpreted correctly rather than as failure.

WHEN IT IS USED

During AI business-case design and post-deployment review.

BY WHOM IT IS USED

Finance, strategy and programme leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It makes the historically observed delay an explicit planning parameter, protecting good investments from premature judgment.

RELATED FRAMEWORKS IN THIS COURSE

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Solow Paradox Revisited · Slibrary 5

Intangible Capital Iceberg · Slibrary 5

Diffusion S-Curve · Slibrary 5

SOURCES (HARVARD REFERENCING STYLE)

David, P.A. (1990) 'The dynamo and the computer', American Economic Review, 80(2).

Brynjolfsson, E. and Hitt, L. (2003) 'Computing productivity', Review of Economics and Statistics, 85(4).